NORTHSTAR DIGITAL SERVICES LTD.

People Operations · Finance · Information Security

Expenses and Business Travel Policy

Claims, limits, approvals, corporate cards and reimbursement

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Revision history — NDS-FIN-EXP-003

Version	Date	Summary of changes
1.0	1 January 2025	Original policy.
1.1	1 October 2026	Revised limits, HMRC 2026/27 mileage rates, international bands, daily meal cap, leaver deadline.

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1 Purpose, scope and status

1.1 Purpose

This Expenses and Business Travel Policy (NDS-FIN-EXP-003, version 1.1) is the authoritative rule for business expenses, travel booking, corporate cards and reimbursement at Northstar Digital Services Ltd. It expands section 12 of the Employee Handbook NDS-HR-HB-001 v2.0.

1.2 Scope

This policy applies to all employees. Contractors and agency workers may claim expenses only where their contract or engagement terms expressly allow it, and then only under this policy's limits. Where a customer contract sets stricter rules for rechargeable expenses, the stricter rule applies (section 13).

1.3 Status and effective date

This policy is effective from **1 October 2026** and replaces version 1.0 (effective 1 January 2025 to 30 September 2026). Expenses incurred on or after 1 October 2026 are assessed under this version; expenses incurred before 1 October 2026 are assessed under version 1.0, even if claimed later. Version 1.0 is not part of the current document set. Owner: Finance Director. Approved by: Chief Financial Officer.

2 Principles and responsibilities

- Expenses must be incurred wholly, exclusively and necessarily for Northstar business.
- Choose the most cost-effective option that meets the business need, taking account of time, safety and accessibility.
- Limits in this policy are maximums, not allowances. Amounts above a limit are not reimbursed unless an exception is approved under section 16; the claimant bears the difference.
- Claims must be honest, accurate and supported by evidence.

Table 2.1 — Responsibilities

Role	Responsibilities
Claimant	Obtain pre-approval; book through the Travel desk where required; keep itemised receipts; submit within 30 calendar days; tag customer-rechargeable costs; repay any amount reimbursed in error within 10 working days.
Approver	Review within 5 working days; check business purpose, limits, evidence and pre-approval; reject or query non-compliant items; never approve own claims or where conflicted.
Finance (Expenses team)	Validate claims, apply limits and exchange rates, audit a sample of at least 10% of claims monthly, operate duplicate detection, process reimbursement, and report fraud indicators.
Travel desk	Book rail, flights and hotels within policy; maintain the travel-risk register; support travellers in an emergency.

3 Approvals

3.1 Pre-approval

Table 3.1 — Items requiring pre-approval before cost is incurred

Item	Pre-approver
Any overnight stay (UK)	Line manager
Any international travel	Director, plus Travel desk travel-risk check
Any single item costing more than £250	Line manager and Head of Department
Client entertainment (any value)	Head of Department; Director if more than £100 per head
First-class rail (journeys scheduled over 3 hours)	Head of Department
Premium economy flights (scheduled flight time over 6 hours)	Head of Department
Business-class flights (scheduled flight time over 10 hours)	Director
Conferences, courses, certification exams (learning budget)	Line manager
Professional subscriptions	Line manager

Pre-approval is recorded in ExpenseFlow as a "Travel and spend request" and its reference must be quoted on the claim.

3.2 Claim approval thresholds

Table 3.2 — Approval matrix by total value of a single claim

Claim value	Approvers required
Up to £250.00	Line manager
£250.01 to £1,000.00	Line manager and Head of Department
£1,000.01 to £5,000.00	Line manager, Head of Department and Director
Over £5,000.00	Line manager, Head of Department, Director and Finance Director

A claim for one trip must be submitted as a single claim. Splitting one trip or one expense across several claims to avoid a threshold is prohibited and is a fraud indicator (section 12). Where an approver is the claimant, the most senior attendee of the event, or has a declared conflict with the claimant, the next approver up the line approves instead.

4 Expense categories and limits

4.1 Meals and subsistence (UK)

Table 4.1 — UK meal limits

Meal	Limit	Eligibility conditions
Breakfast	£12	Only on a day following an overnight stay where breakfast is not included in the room rate.
Lunch	£15	Only when travelling on business away from the normal workplace for more than 5 hours. Not claimable when working at the normal workplace.
Evening meal	£35	Only when staying overnight, or when business travel means arriving home after 20:00.
Daily cap (overnight trips)	£55	The total of breakfast, lunch and evening meal on any single day of an overnight trip.

Each meal limit applies separately and the daily cap then applies to the total. Alcohol is not reimbursable except as part of approved client entertainment. Reasonable tips of up to 10% of the meal cost are reimbursable within the meal limit.

4.2 Accommodation (UK)

Table 4.2 — UK accommodation limits (per night, room only, including taxes)

Location	Limit	Conditions
London (inside the M25)	£180	Pre-approved; booked through the Travel desk where possible.
Rest of the UK	£120	Pre-approved; booked through the Travel desk where possible.
Staying with friends or family instead of a hotel	£25 per night	No receipt required; covers a gift or contribution to the host.

Overnight stays are not normally approved within 50 miles of the employee's home or normal workplace unless the working day exceeds 12 hours including travel, there is a safety reason, or as a reasonable adjustment. Laundry is reimbursable only for trips of 5 nights or more, up to £20 per trip.

4.3 Mileage (own vehicle)

Table 4.3 — Mileage rates (2026/27 tax year, 6 April 2026 to 5 April 2027)

Vehicle	First 10,000 business miles in the tax year	Each business mile over 10,000
Car or van	55p	25p
Motorcycle	24p	24p
Bicycle	20p	20p
Passenger supplement (carrying a colleague on the same business journey)	5p per passenger per mile	5p per passenger per mile

These rates follow HMRC approved mileage allowance payment rates for 2026/27. Only business miles are claimable. Where a journey starts or ends at home, deduct the employee's normal commuting distance between home and the normal workplace from each leg. The employee must hold valid business-use insurance, a valid licence and an MOT where required; Northstar may ask to see these. For round trips over 150 miles, rail should be used unless driving is cheaper overall, necessary to carry equipment, or a reasonable adjustment. Fuel cards are not issued.

4.4 Rail

Standard class is the default, booked in advance through the Travel desk where possible. First class is permitted only for journeys scheduled to last more than 3 hours with Head of Department pre-approval, or as a reasonable adjustment. Railcards for employees who travel by rail on business at least monthly may be reimbursed where the saving exceeds the cost.

4.5 Air travel

Economy class is the default. Premium economy is permitted for flights with a scheduled flight time over 6 hours, with Head of Department pre-approval. Business class is permitted for flights with a scheduled flight time over 10 hours, with Director pre-approval, or as a reasonable adjustment. Checked baggage is reimbursable for trips of 3 nights or more, or when carrying company equipment. Domestic flights within Great Britain require Head of Department approval and a justification that rail is impractical.

4.6 Taxis and ride-hailing

Taxis are reimbursable up to **£50 per journey** only where: no reasonable public transport is available; the journey is between 22:00 and 06:00; the employee is carrying heavy or valuable equipment; or for personal safety or accessibility reasons. Journeys above £50 need Head of Department approval. Taxis between home and the normal workplace are not reimbursable except between 22:00 and 06:00 after work required by an incident or approved overtime.

4.7 Parking, tolls and charges

Parking at customer sites, stations and airports (for trips of up to 3 nights) is reimbursable at actual cost with a receipt or app record. Tolls, the London Congestion Charge and Clean Air Zone or ULEZ charges for business journeys are reimbursable where use of a car was justified. Penalty charge notices, parking fines and speeding fines are never reimbursable.

4.8 International travel limits

Table 4.8 — International limits by destination band (amounts in GBP)

Band	Example destinations	Hotel per night	Breakfast	Lunch	Dinner	Daily meal cap	Incidental per night
A	New York, San Francisco, Zurich, Geneva, Oslo, Singapore	£300	£18	£25	£55	£85	£10
B	Other Western European and North American cities, e.g. Amsterdam, Berlin, Dublin, Paris, Madrid, Toronto, Chicago	£200	£15	£20	£45	£70	£10
C	All other destinations, e.g. Bengaluru, Pune, Kraków, Bucharest, Cape Town	£150	£12	£15	£35	£55	£10

The Travel desk confirms the band for any destination not listed. Visa fees, required vaccinations and travel-risk measures for business trips are reimbursable; passport renewals and personal travel insurance are not (Northstar's group travel insurance covers business trips).

4.9 Client entertainment

Client entertainment must have a clear business purpose and be pre-approved by the Head of Department. The limit is **£60 per head**, including drinks, for all attendees (Northstar and client). More than £100 per head requires Director pre-approval and an entry in the gifts and hospitality register within 5 working days. The claim must list all attendees, their organisations and the business purpose. Entertainment of public officials requires prior approval from the Head of Risk and Compliance. Entertainment of anyone involved in an active tender with Northstar is prohibited.

4.10 Home office, professional subscriptions and learning

- **Home office allowance:** up to £300 (including VAT) once in any 3-year period, for employees who have completed probation and work hybrid or remotely; receipts required. Broadband, utilities and personal mobile contracts are not reimbursable.
- **Professional subscriptions:** one role-relevant membership per year, up to £250, pre-approved by the line manager.
- **Learning:** courses, conferences and exams are paid from the £1,000 annual learning budget (handbook section 13.6), ideally booked directly by the Travel desk or Learning team rather than claimed.

4.11 Incidental allowance

An overnight incidental allowance of £5 per night in the UK and £10 per night abroad may be claimed without receipts for personal incidental costs (for example, a newspaper or a personal phone call home).

5 Receipts and evidence

- An itemised receipt (showing the supplier, date, items and VAT where applicable) is required for every expense except mileage, the incidental allowance and the "staying with friends" allowance.
- Card-terminal slips and bank statements alone are not itemised receipts.
- Mileage claims require a journey log: date, start and end points, business purpose, total miles, and commuting miles deducted.
- Client entertainment claims require the attendee list and business purpose.
- **Missing receipts:** a missing-receipt declaration in ExpenseFlow, with alternative evidence such as a card statement, may be used for items up to **£75**, no more than **2 times per calendar quarter**, with line manager approval. Items above £75 without an itemised receipt are not reimbursed unless the Finance Director approves an exception.
- Receipts must be photographed and uploaded at the time of the claim. Original paper receipts must be kept for 3 months after reimbursement in case of audit.

6 Submission deadlines

Deadlines

- Submit within **30 calendar days** of the date the expense was incurred. For multi-day trips, each expense's own date applies, but all expenses for one trip should be submitted together within 30 calendar days of the first expense of the trip.
- **31 to 90 calendar days:** a late claim requires a written explanation and Head of Department approval.
- **More than 90 calendar days:** not reimbursed, unless the Finance Director approves an exception (for example, where the claimant was on long-term sickness or family leave).
- **Leavers:** all claims must be submitted within **10 working days** after the leaving date. Claims received after that are not paid.

7 Corporate cards

- Issued to employees expected to travel on business at least 6 times a year, with Director approval. Standard monthly credit limit: £5,000.
- Business use only. Accidental personal use must be reported to Finance and repaid within **10 working days**.
- All transactions must be reconciled in ExpenseFlow, with receipts, within **30 days of the statement date**. Unreconciled transactions after 60 days lead to card suspension.
- Cash withdrawals are permitted only abroad, up to £200 per trip, and must be accounted for with receipts.
- Lost or stolen cards must be reported to the card provider immediately and to Finance within 1 working day.
- The card is cancelled on the holder's last working day.

8 International travel and currency conversion

- International trips require Director pre-approval and a Travel desk travel-risk check before booking. Trips to destinations rated high risk also need CISO approval for any devices taken (a clean travel laptop may be issued).
- Working from abroad outside a business trip is covered by NDS-HR-HFW-005 section 7, not this policy.
- **Currency conversion:** claim in pounds sterling. For card payments (corporate or personal), use the sterling amount on the card statement, including any foreign transaction fee, and attach the statement line. For cash payments, use Finance's published monthly exchange rate for the month in which the expense was incurred (published on the intranet as foreign currency units per £1). Sterling amount = foreign amount / published rate, rounded to the nearest penny.
- Limits in Table 4.8 are applied to the sterling amount.

9 Reimbursement timelines

Expenses are reimbursed through payroll. Claims that are fully approved by the payroll cut-off (the **10th of the month**) are paid on the 25th of the same month (or the previous working day if the 25th is not a working day). Claims fully approved after the 10th are paid in the following month's payroll. Finance may make an off-cycle payment for approved claims over £500 where waiting would cause hardship.

10 Non-reimbursable items

Not reimbursable (non-exhaustive): alcohol outside approved client entertainment; minibar items and in-room entertainment; fines and penalty charges; personal travel insurance; passport costs; travel between home and the normal workplace (except as in section 4.6); upgrades not pre-approved; spouse, partner or family travel costs; childcare and pet care; gym, spa and leisure costs; clothing and toiletries (except essential items after airline baggage loss, up to £50, net of airline compensation); team social events (paid from team budgets, not personal claims); and any cost already paid by a corporate card, a customer or a third party.

11 Rejections and appeals

The approver or Finance records the reason for rejecting all or part of a claim. The claimant may ask the next-level approver to review the decision within **10 working days**. Where the dispute is about interpretation of this policy, the Finance Director's decision is final.

12 Fraud indicators and investigations

Table 12.1 — Common expense fraud indicators

Indicator	Example
Altered or duplicated receipts	A receipt edited to show a higher amount, or the same receipt submitted twice in different months.
Split claims	A £400 hotel stay submitted as two £200 claims to avoid Head of Department approval.
Personal items claimed as business	Family meals claimed as client entertainment.
Inflated mileage	Mileage that exceeds the route distance or includes commuting miles.
Claims during leave	Expenses dated on days the claimant was on annual leave.
Round-number or missing-receipt patterns	Frequent missing-receipt declarations just under the £75 limit.

Suspected fraud is investigated by Finance and People Operations under the disciplinary procedure. Expense fraud is normally gross misconduct. Northstar will recover any overpayment and may report suspected criminal offences to the police.

13 Customer-rechargeable expenses

Tag rechargeable expenses with the customer project code. Where the customer contract has lower limits or stricter evidence rules, those apply. Costs that a customer refuses to reimburse because the claimant did not follow the customer's rules may be treated as non-reimbursable.

14 Worked claim examples

Example 14.1 — two-day London trip

A Manchester-based consultant travels to London on Tuesday and returns Wednesday, with an approved overnight stay.

- Standard-class return rail: £84.00 — reimbursed in full.
- Hotel: £195.00 room only — limit £180.00; £180.00 reimbursed (the £15.00 excess is not reimbursed unless the Head of Department approves an exception, which is within the 25% threshold).
- Tuesday: lunch £14.00 and dinner £38.00 including a £6.00 glass of wine. Wine is not reimbursable, so dinner = £32.00. Tuesday meals = £46.00 (within the £55 daily cap).
- Wednesday: breakfast £13.00 (limit £12.00) and lunch £16.00 (limit £15.00). Wednesday meals = £27.00.
- Incidental allowance: £5.00.
- **Total reimbursed: £84.00 + £180.00 + £46.00 + £27.00 + £5.00 = £342.00.** Because the claim is between £250.01 and £1,000.00, it requires line manager and Head of Department approval.

Example 14.2 — daily meal cap

On a day of an overnight UK trip, an employee spends £12.00 on breakfast, £15.00 on lunch and £35.00 on dinner. Each item is within its individual limit, but the total of £62.00 exceeds the £55.00 daily cap, so **£55.00** is reimbursed.

Example 14.3 — mileage with commuting deduction

An employee whose normal workplace is the Manchester office (12 miles from home) drives from home to a customer site in Leeds (50 miles from home) and back. Business miles = (50 − 12) x 2 = 76 miles. They have claimed fewer than 10,000 business miles this tax year. Reimbursement = 76 x £0.55 = **£41.80**.

Example 14.4 — crossing the 10,000-mile threshold

An employee has already claimed 9,950 business miles in the 2026/27 tax year and makes a 120-mile business journey. The first 50 miles are paid at 55p and the remaining 70 at 25p: (50 x £0.55) + (70 x £0.25) = £27.50 + £17.50 = **£45.00**.

Example 14.5 — Berlin trip (Band B), currency conversion

An employee travels to Berlin for 3 nights with Director pre-approval and a travel-risk check. The hotel costs €210 per night on the corporate card; the card statement shows £181.50 per night including fees, which is within the £200 Band B limit, so £544.50 is reimbursed for 3 nights. A taxi costing €30 was paid in cash; Finance's published rate for that month is 1.16 euros per £1, so the claim is €30 / 1.16 = **£25.86**. Because the total claim exceeds £250, it needs line manager and Head of Department approval.

Example 14.6 — client dinner

A dinner for 4 people (2 client attendees and 2 Northstar employees) costs £296.00 including drinks, which is £74.00 per head. This is above the £60 per head limit by 23%, so the Head of Department (who must pre-approve all client entertainment) may approve the excess as an exception up to 25% above the limit. If the bill had been £320.00 (£80.00 per head, 33% above the limit), Director approval would be required for the excess. Neither amount exceeds £100 per head, so no gifts and hospitality register entry is required.

Example 14.7 — late claims and reimbursement dates

- An expense incurred on Wednesday 3 March 2027 and submitted on Thursday 15 April 2027 is 43 calendar days old: a late claim needing a written explanation and Head of Department approval.
- The same expense submitted on Saturday 5 June 2027 would be 94 calendar days old and would not be reimbursed unless the Finance Director approved an exception.
- A claim fully approved on 9 March 2027 is paid on Thursday 25 March 2027. A claim fully approved on 12 March 2027 is paid in the April payroll; because 25 April 2027 is a Sunday, it is paid on Friday 23 April 2027.

15 Reimbursability decision table

Table 15.1 — Is this expense normally reimbursable?

Sample expense	Normally reimbursable?	Conditions	Approver / evidence
Standard-class rail to a customer site	Yes	Business journey	Line manager; ticket receipt
First-class rail, 2-hour journey	No	Only for journeys over 3 hours, or as a reasonable adjustment	—
First-class rail, 3.5-hour journey	Yes	Head of Department pre-approval	Pre-approval reference; receipt
Taxi at 23:30 from station to home after a business trip	Yes	Up to £50	Receipt
Taxi for a 1-mile midday trip where a bus is available	No	No qualifying reason	—
Ride-hailing from office to customer carrying demo hardware	Yes	Up to £50; equipment noted	Receipt
London hotel at £170 per night, room only	Yes	Overnight stay pre-approved	Line manager; itemised folio
Hotel in Manchester for a Manchester-based employee	No	Within 50 miles of normal workplace, unless an exception applies	—
Breakfast when included in the room rate	No	Already paid	—
Lunch on a 6-hour trip to a customer site	Yes	Up to £15	Receipt
Lunch while working at the normal office	No	Not travelling	—
Team dinner after a normal working day (no client)	No	Team budget, not personal expenses	—
Glass of wine with dinner on a solo trip	No	Alcohol only in approved client entertainment	—
Client dinner with drinks, £55 per head, pre-approved	Yes	Within £60 per head	Head of Department; attendee list
Parking at a customer site	Yes	Actual cost	Receipt or app record
Parking fine or penalty charge notice	No	Never reimbursable	—
ULEZ or Congestion Charge for a business journey by car	Yes	Car use justified	Payment confirmation
Mileage from home to the normal office	No	Commuting	—
Mileage from home to a customer site	Yes	Minus normal commuting miles; 55p/25p per mile	Journey log
Ergonomic chair bought after probation (hybrid employee)	Yes	Home office allowance, up to £300 per 3 years	Receipt
Home broadband	No	Not reimbursable	—
Professional membership relevant to role	Yes	One per year, up to £250, pre-approved	Line manager; invoice
Laundry on a 6-night trip	Yes	Trips of 5 nights or more; up to £20 per trip	Receipt
Minibar or in-room film	No	Personal	—
Personal travel insurance for a business trip	No	Group travel insurance applies	—

Sample expense	Normally reimbursable?	Conditions	Approver / evidence
Business visa fee	Yes	Approved international trip	Receipt
Passport renewal	No	Personal document	—
Checked bag carrying company equipment	Yes	Any trip length	Receipt
Childcare while on a business trip	No	Not reimbursable	—
Gift for a client (not a public official)	Yes	Up to £50, Head of Department pre-approval and register entry	Receipt

16 Exceptions

Table 16.1 — Expense exceptions

Exception	Approver	Recorded in
Up to 25% above any published limit	Head of Department	ExpenseFlow exception field
More than 25% above any published limit	Director	ExpenseFlow exception field
Late claim of 31 to 90 calendar days	Head of Department	ExpenseFlow
Late claim of more than 90 calendar days	Finance Director	ExpenseFlow
Missing receipt over £75	Finance Director	ExpenseFlow
Expense category not covered by this policy	Finance Director	ExpenseFlow

An exception must be approved in writing before reimbursement, applies only to the individual claim, and does not create a precedent. No one may approve an exception for their own expenses.

17 Version history

Table 17.1 — Version history, NDS-FIN-EXP-003

Version	Effective	Summary
1.0	1 January 2025	Original policy (not in current document set).
1.1	1 October 2026	Mileage rate aligned to HMRC 2026/27 (55p for the first 10,000 miles); international bands introduced; daily meal cap introduced; leaver deadline of 10 working days; missing-receipt limit set at £75.